

25STCV32943 25STCV32943

County: los-angeles

Division: Civil Law and Motion

Department: 508

Hearing date: 2026-07-20

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C508%2C07%2F20%2F2026

Source SHA-256: 2cca88ae2532cd907687e3628022a4f42de70e374c68b7332ead51655b04bac1

Case Number: 25STCV32943 Hearing Date: July 20, 2026 Dept: 508

Superior Court of California

County of Los Angeles

Department

508

FREDRICK DOUGLAS STEEN,

Plaintiff,

vs.

CREATIVE INVESTMENT GROUP,

INC., et al.,

Defendants.

Case No.:

25STCV32943

Hearing Date:

July 20, 2026

Hearing

Time: 2:00 p.m.

[TENTATIVE]

ORDER RE:

DEFENDANTS

CREATIVE INVESTMENT GROUP, INC. AND ALL COUNTIES TRUSTEE SERVICE COMPANY'S DEMURRER
TO PLAINTIFF'S COMPLAINT

Background

On November 12, 2025, Plaintiff Fredrick Douglas Steen ("Steen") filed this action against Defendants Creative Investment Group, Inc. and All Counties Trustee Service Company (jointly, "Defendants"), alleging eight causes of action for (1) wrongful foreclosure, (2) violation of California Civil Code §§ 2924, 2924c, 2924f, (3) breach of contract, (4) negligence, (5) breach of the implied covenant of good faith and fair dealing, (6) unfair business practices (Bus. & Prof. Code § 17200), (7) declaratory belief, and (8) injunctive relief.

Defendants demur to Steen's complaint in its entirety. Steen did not file an opposition.

The Court previously ordered Defendants' counsel to meet and confer with Steen. Defendants' counsel filed a declaration on June 22, 2026 attesting to his efforts. Counsel attests that "[p]ursuant to the Court's order requiring the parties to meet and confer prior to the filing of this Demurrer, I attempted to contact Plaintiff by telephone on June 14, 2026, at approximately 1:03 p.m. again June 17, 2026, at approximately 2:03 p.m., and again on June 19, 2026, at approximately 3:23 p.m. to discuss the deficiencies in the Second Amended Complaint. Plaintiff did not answer any of my calls. I was unable to leave a voicemail message on all three occasions because Plaintiff's voicemail mailbox was full. Despite my good faith efforts to initiate the meet-and-confer process, Plaintiff did not respond, and I was therefore unable to resolve the issues raised in this Demurrer informally." (Zaki Decl., ¶ 2.) Counsel further states that he has "not heard back from Plaintiff since Plaintiff and Defendant's counsel last appeared at the Demurrer hearing on June 10, 2026, in Department 508." (Zaki Decl., ¶ 3.)

The Court notes that Defendants' counsel cannot meet and confer if Steen does not return his phone calls. Accordingly, the efforts are sufficient,

and the Court will hear the demurrer.

Legal Standard

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda, (2007) 147 Cal.App.4th 740, 747.) In testing the sufficiency of the complaint, the court assumes the truth of properly pleaded factual allegations, facts reasonably inferred from those expressly pleaded, and judicially noticed matters. ((Blank v. Kirwan (1985) 39 Cal.3d 311, 318.) "A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed." (SKF Farms v. Superior Court, (1984) 153 Cal.App.3d 902, 905.) Accordingly, "[w]hether the plaintiff will be able to prove the pleaded facts is irrelevant to ruling upon the demurrer." (Stevens v. Superior Court (1986) 180 Cal.App.3d 605, 609-10.)

Under Code of Civil

Procedure section 430.10 subdivisions (e) and (f), a demurrer may be filed if the pleading is uncertain or does not state facts sufficient to constitute a cause of action. For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. (Aubry v. Tri-City Hosp. Dist. (1992) 2 Cal.4th 962, 967.) A special demurrer for uncertainty, Code of Civil Procedure Section 430.10 subdivision (f), is strictly construed and will only be sustained where the respondent cannot reasonably determine what issues must be admitted or denied, or what counts or claims are directed against him or her. (Khoury v. Maly's of California, Inc. (1993) 14 Cal.App.4th 612, 616.) Moreover, even if the pleading is somewhat vague, "ambiguities can be clarified under modern discovery procedures." (Ibid.)

Leave to amend must be allowed where there is a reasonable possibility of successful amendment, otherwise, it is abuse of discretion. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 349.)

Discussion

Defendants demur to each cause of action of Steen's

complaint for failing to state facts sufficient to constitute a cause of action and for uncertainty.

A.

Allegations of the Complaint

Steen alleges the following, inter alia, that “[t]his action arises out of the wrongful and illegal foreclosure proceedings initiated by Defendants against Plaintiff’s real property.” (Compl., ¶ 1.) “Plaintiff brings this complaint to challenge the unlawful and procedurally defective foreclosure initiated by Creative Investment Group, Inc. (‘Creative Investment’) through its trustee, All Counties Trustee Service Company (‘All Counties Trustee’), in violation of the California Civil Code and California Homeowner Bill of Rights.” (Compl., ¶ 2 [emphasis omitted].) “On September 28, 2020, Plaintiff executed a Deed of Trust in favor of Creative Investment Group, Inc. securing a loan in the principal sum of \$240,000, recorded October 1, 2020,” and “All Counties Trustee Service Company was named and acted as the trustee under the Deed of Trust.” (Compl., ¶¶ 9-10 [emphasis omitted].)

Steen alleges that he “made regular monthly payments and attempted to resolve minor delinquencies through communication with the lender,” but “[o]n October 8, 2024, without proper notice or accounting, Creative Investment Group, Inc. executed a Declaration of Default and Demand for Sale falsely alleging that Plaintiff was in default in the sum of \$14,647.25 as of that date.” (Compl., ¶¶ 11-12 [emphasis omitted].) “The Notice of Default was recorded October 11, 2024, by All Counties Trustee Service Company, which later recorded a Notice of Trustee’s Sale dated October 23, 2025, setting a sale for November 18, 2025.” (Compl., ¶ 13 [emphasis omitted].)

Steen further alleges that “[t]he amount claimed in default and the reinstatement figure were grossly inaccurate, and despite Plaintiff’s written and verbal requests, neither the lender nor trustee provided a valid reinstatement or payoff quote, in violation of Civil Code § 2924c.” (Compl., ¶ 14 [emphasis omitted].) “Plaintiff was never properly served with the Notice of Default and Sale as required by Civil Code § 2924b (personal service, posting, and certified mailing).” (Compl., ¶ 15 [emphasis omitted].) “Plaintiff attempted to cure the alleged default but was denied due to Defendants’ failure

to provide accurate accounting and reinstatement amounts.” (Compl., ¶ 16.) “Defendants continued foreclosure proceedings despite knowing Plaintiff’s dispute regarding the balance, rendering the foreclosure process void or voidable under California law.” (Compl., ¶ 17 [emphasis omitted].)

B.

Lack of Supporting

Facts

Defendants assert that “[a]ll causes of action in the Complaint rely exclusively on the scant ‘Statement of Facts’ for support, which contains only two substantive allegations.” (Dem., 5:1-2.) “Firstly, Plaintiff alleges that the Notice of Default recorded on October 11, 2024, incorrectly stated that the amount in default at that time was \$14,647.25. Complaint ¶ 12. Plaintiff does not allege what the correct amount was at the time, only that it was not \$14,647.25, and therefore it was ‘invalid.’ Complaint ¶ 14. Plaintiff alleges that he did not cure the default because the amount alleged was inaccurate. Complaint ¶ 16. Plaintiff alleges that this inaccuracy excuses his obligation to tender the amounts due.” (Dem., 5:3-8.) “Secondly, Plaintiff alleges that ‘Plaintiff was never properly served with the Notice of Default and Sale as required by Cal. Civ. Code § 2924b (personal service, posting, and certified mailing).’ Complaint ¶ 15. Plaintiff does not allege how the documents were served or when or how he received them, only that the service upon him was not done ‘properly.’” (Dem., 5:9-12.)

Defendants contend that “[s]pecific facts are missing here that are necessary to any cause of action that Plaintiff might seek: a showing of tender by himself as trustor and prejudice to him by the errors alleged. By failing to allege what the correct amount was, that he offered to pay the correct amount, and that [he] was prevented from reinstatement by the inclusion of the incorrect amount in the notice of default, the Complaint is fatally defective. Furthermore, because Plaintiff has affirmatively alleged that he has NOT tendered any amount to Defendant, it cannot be cured.” (Dem., 5:13-18.)

The Court agrees that the complaint fails to assert sufficient facts and rests on two substantive allegations, as noted by Defendants.

C.

First, Second, Fourth, Fifth, Sixth, Seventh, and

Eighth Causes of Action

Defendants first contend

that “[g]iven the information by the deed of trust beneficiary as to the amount due, the trustor seeking to prevent nonjudicial foreclosure is required to project the amount presently due and to tender that amount as a cure of the default.” (Dem., 5:22-24; see *Crossroads Investors, L.P. v. Federal National Mortgage Assn.* (2017) 13 Cal.App.5th 757, 790-791 [“It is obvious even the owner of the property cannot redeem it from a lien without tendering the amount due under its terms, including the terms governing a default.”].)

“The basic elements of a

tort cause of action for wrongful foreclosure track the elements of an equitable cause of action to set aside a foreclosure sale. They are: ‘(1) the trustee or mortgagee caused an illegal, fraudulent, or willfully oppressive sale of real property pursuant to a power of sale in a mortgage or deed of trust; (2) the party attacking the sale (usually but not always the trustor or mortgagor) was prejudiced or harmed; and (3) in cases where the trustor or mortgagor challenges the sale, the trustor or mortgagor tendered the amount of the secured indebtedness or was excused from tendering.’” (*Miles v. Deutsche Bank National Trust Co.* (2015) 236 Cal.App.4th 394, 408.)

Steen did not allege that

he tendered the amount of debt, nor did he allege that he attempted to do so.

Defendants also assert

that “[i]f we accept as true Plaintiff’s factual allegation that the notice of default incorrectly stated the amount due, and that he was unable to obtain an accurate reinstatement quote, these facts alone do not state a cause of action. Plaintiff relies on two statutes, §§ 2924(a)(1)(C) and 2924c. Plaintiff has not pleaded facts sufficient to constitute a cause of action predicated on either statute.” (Dem., 5:26-6:2.)

“Civil

Code sections 2924 through 2924k ... govern nonjudicial foreclosure sales pursuant to a power of sale contained in a deed of trust.” (*Matson v. S.B.S. Trust Deed Network* (2020) 46 Cal.App.5th 33, 40.) “The primary purpose of a notice of default is to provide notice of the amount in arrears and an opportunity to cure the default. [Citation.] In order for a defect in the notice of default to be material, it must cause prejudice.” (*Ram v. OneWest Bank, FSB* (2015) 234 Cal.App.4th 1, 17.) “Civil Code section 2924c

allows the borrower to cure the default, reinstate the loan, and avoid foreclosure by paying the amount in default, plus specified fees and expenses.” (Taniguchi v. Restoration Homes LLC (2019) 43 Cal.App.5th 478, 481.)

Defendants contend that “[n]either statute that creates a private right of action for the violation he alleges; neither section 2924 nor section 2924c, subdivision (e) does so. And neither statute is among those identified in section 2924.12, which expressly creates a private right of action for material violation of specified foreclosure provisions.” (Dem., 6:12-15; see Lucioni v. Bank of America, N.A. (2016) 3 Cal.App.5th 150, 158-159 [“In the [Homeowner Bill of Rights], the Legislature authorized a private right of action to enjoin a nonjudicial trustee’s sale when a lender violates any one of nine statutory provisions. Under section 2924.12(a)(1), a homeowner may bring an action for injunctive relief due to a material violation of section 2923.55, 2923.6, 2923.7, 2924.9, 2924.10, 2924.11, or 2924.17. Under section 2924.19(a)(1), a homeowner also may bring an action for injunctive relief for a material violation of section 2923.5 or 2924.18... [A] foreclosure may be enjoined due to a material violation of the statutory provisions that the Legislature has chosen to list, but not due to a violation of unlisted provisions.”].)

Further, Defendant contends that “[t]o the extent § 2924c(e) may be read as implicitly acknowledging a private right to sue for reinstatement of a defaulted loan, Plaintiff has not alleged a right to reinstatement,” and “a claim challenging an inaccurate notice of default cannot be maintained without alleging both the ability and willingness to secure reinstatement by paying the correct amount.” (Dem., 6:18-26.)

“To successfully challenge a foreclosure sale based on a procedural irregularity, the plaintiff must show both that there was a failure to comply with the procedural requirements for the foreclosure sale and that the irregularity prejudiced the plaintiff.” (Citrus El Dorado, LLC v. Chicago Title Co. (2019) 32 Cal.App.5th 943, 950.) To reinstate, under the tender rule, a debtor must tender the defaulted amount. “The tender rule arose in the context of redemption cases where the plaintiffs sought to set aside the trustee’s sale

for irregularities in the foreclosure sale notice or procedure... Thus, the tender rule 'is based on the theory that one who is relying upon equity in overcoming a voidable sale must show that he is able to perform his obligations under the contract so that equity will not have been employed for an idle purpose.'" (Turner v. Seterus, Inc. (2018) 27 Cal.App.5th 516, 528.)

Defendants conclude that Steen

"fails to state a claim without alleging tender of at least the sum of his missed payments. For example, in Turner the debtor satisfied the tender requirement by acknowledging the amount of the default, claiming the ability to pay that amount, and requesting to pay that amount to cure the default. Id. at 521, 531–532. Plaintiff here has not alleged what he believes the correct amount to be, and without alleging how the notice of default is inaccurate, he cannot allege that he has been damaged by that inaccuracy, or that it was material. Plaintiff has not alleged that he has tendered the amount of the default, or signaled that he could or would pursue reinstatement if the notice of default were accurate. Instead, his factual allegations specifically allege that no such offer has been made, and that he has been excused from any obligation of tender." (Dem., 7:4-12.)

Based on the law and the

foregoing assertions made by Defendants, Steen fails to adequately plead his causes of action. Without pleading that Steen had the willingness and ability to tender or pleading that he actually tendered the payment, Steen cannot maintain his causes of action because they are all predicated on Defendants' decision to move forward with foreclosure proceedings. Without specific allegations regarding Steen's tender, the causes of action are insufficiently pled. Accordingly, the Court sustains the demurrer as to the first, fourth, fifth, sixth, seventh, and eighth causes of action with leave to amend. The Court sustains the demurrer to the second cause of action without leave to amend because Civil Code sections 2924, 2924c, and 2924f do not provide for a private right of action. (See Lucioni v. Bank of America, N.A., supra, 3 Cal.App.5th at pp. 158-159.)

D.

Third Cause of Action for Breach of Contract

To state a cause of

action for breach of contract, a plaintiff must be able to establish "(1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the

plaintiff.” (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 821.)

Under Code of Civil Procedure section 430.10, subdivision (g), a demurrer is proper when “an action founded upon a contract, it cannot be ascertained from the pleading whether the contract is written, is oral, or is implied by conduct.”

Defendants assert that “Plaintiff does not plead the existence of any contractual duty requiring Defendants to accept reinstatement under the alleged circumstances, does not identify any payments that were tendered, and does not allege how any such payments were misapplied in violation of a specific contractual term. The Complaint does not identify any term of the note or deed of trust that Defendants violated. Nor does it allege any contractual provision prohibiting Defendants from initiating foreclosure proceedings following Plaintiff’s default. Plaintiff’s conclusory allegations that Defendants ‘refused reinstatement’ and ‘misapplied payments’ are likewise insufficient.” (Dem., 7:24-8:2.)

The Court finds that Steen does not plead the elements for a breach of contract cause of action because he fails to demonstrate what aspect of the contract Defendants breached and how. Steen alleges that “[t]he Deed of Trust and Promissory Note constitute a valid and enforceable contract. [¶] Plaintiff performed or was excused from performing all obligations thereunder. [¶] Defendant breached the contract by refusing reinstatement and misapplying payments.” (Compl., ¶¶ 24-26.) Steen does not direct the Court to language for a contract between the parties, nor does Steen attach the alleged contracts as exhibits. Steen also does not allege ultimate facts stating how Defendants breached the contract and how Steen was excused from performing. Without this, Steen has not sufficiently alleged his breach of contract cause of action. Accordingly, the demurrer to the third cause of action is sustained.

Conclusion

Based on the foregoing, Defendants’ demurrer to the first, third, fourth, fifth, sixth, seventh, and eighth causes of action is SUSTAINED with leave to amend. Defendants’ demurrer to the second cause of action is SUSTAINED without leave to amend.

Defendants are ordered to give notice of this Order.

DATED: July
20, 2026

Hon. Teresa A.
Beaudet

Judge, Los
Angeles Superior Court